

Professorship of Corporate Law

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Business Law

Exercise – Session II

Summer Term 2026



Introduction II

(1) Revision questions

- Lecture 1

(2) Legal methodology

- IRAC scheme in detail

(3) Example for legal opinion

How to cite the law

§ 434 **Material defects**

- (1) The thing is free from material defects if, upon the devolution of the risk, it conforms to the subjective requirements, the objective requirements and the assembly requirements set out in this provision.
- (2) ¹The thing conforms to subjective requirements if
1. it is of the nature agreed
 2. it is suitable for the use on which the contract is premised, and
 3. it is handed over together with the accessories agreed and the instructions agreed, including assembly and installation instructions.
- ²The nature defined in sentence 1 no. 1 relates to, among other things, the type, quantity, quality, functionality, compatibility, interoperability and other features of the thing regarding which the parties have agreed requirements.
- (3) Unless effectively agreed otherwise, the thing conforms to objective requirements if [...]

§: Sections
I: Subsections
1: Sentences
No. 1: Numbers
Alt. 1: Alternatives

Revision Questions (Last Session)

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How to cite the law

§ 434

Material defects

§ 434 I
BGB

(1) The thing is free from material defects if, upon the devolution of the risk, it conforms to the subjective requirements, the objective requirements and the assembly requirements set out in this provision.

§ 434 II
1 No. 2
BGB

(2) ¹The thing conforms to subjective requirements if

1. it is of the nature agreed
2. it is suitable for the use on which the contract is premised, and
3. it is handed over together with the accessories agreed and the instructions agreed, including assembly and installation instructions.

§ 434 II
2 BGB

²The nature defined in sentence 1 no. 1 relates to, among other things, the type, quantity, quality, functionality, compatibility, interoperability and other features of the thing regarding which the parties have agreed requirements.

(3) Unless effectively agreed otherwise, the thing conforms to objective requirements if

Revision Questions

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What is the difference between public and private law?

Public law	Private law
= rules on the organisation of the state and all related topics	= rules regulating the relations of individuals
State ↔ citizens	Citizens ↔ citizens
Superordination and subordination	Equal status



Revision Questions

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Explain the structure of the BGB (including the bracketing technique)

				
Book 1	Book 2	Book 3	Book 4	Book 5
Introductory Part	Law on Contractual Obligations	Property law	Family Law	Law of Succession
§§ 1 – 240 BGB	§§ 241 – 853 BGB	§§ 854 – 1296 BGB	§§ 1297 – 1921 BGB	§§ 1922 – 2385 BGB
General rules, which apply to all other books	Legal relationships between several contractual parties	Property law is primarily concerned with the relationship between individuals and property	legal relationships between persons based on family relationships and marriage.	Asset situation after the death of a person. Rules on heirs, the will, etc.

Explain the structure of the BGB (including the bracketing technique)

- Book 1: General part with *lex generalis*
- Book 2 – 5: More specific rules (*lex specialis*)
- General rules only apply insofar there are no more specific rules

Explain the hierarchy of norms in Germany

EU level	
EU Law	Rules adopted by the legislative bodies of the EU Different binding effect on the member states
National level (Germany)	
(National) Constitution	= “Grundgesetz”
National law	Federal law adopted by the German parliament
National regulation	Federal law adopted by the German government
State level (eg. Baden-Württemberg)	

Explain the federal legislative process in Germany

- **Three stages**
 - Initiation
 - “Main” legislative process
 - Execution

Explain the federal legislative process in Germany

■ Initiation

- Draft for a new law
- Initiated by federal government or federal council or a federal parliament group or 5% of the members of the federal parliament

Explain the federal legislative process in Germany

- **“Main” legislative process**
 - Three readings in the federal parliament
 - Simple majority in the federal parliament
 - Forwarding to the federal council (different rights depending on the subject of the law)

Explain the federal legislative process in Germany

■ Execution

- Signing by responsible minister or Chancellor
- Authorization by the federal president
- Promulgation in the Federal Law Gazette

Explain the differences between EU directives and EU regulations

Article 288 TFEU

- (1) To exercise the Union's competences, **the institutions shall adopt regulations, directives, decisions, recommendations and opinions.**
- (2) **A regulation shall have general application. It shall be binding in its entirety and directly applicable in all Member States.**
- (3) **A directive shall be binding, as to the result to be achieved, upon each Member State to which it is addressed, but shall leave to the national authorities the choice of form and methods.**
- (4) A decision shall be binding in its entirety. A decision which specifies those to whom it is addressed shall be binding only on them.
- (5) Recommendations and opinions shall have no binding force.

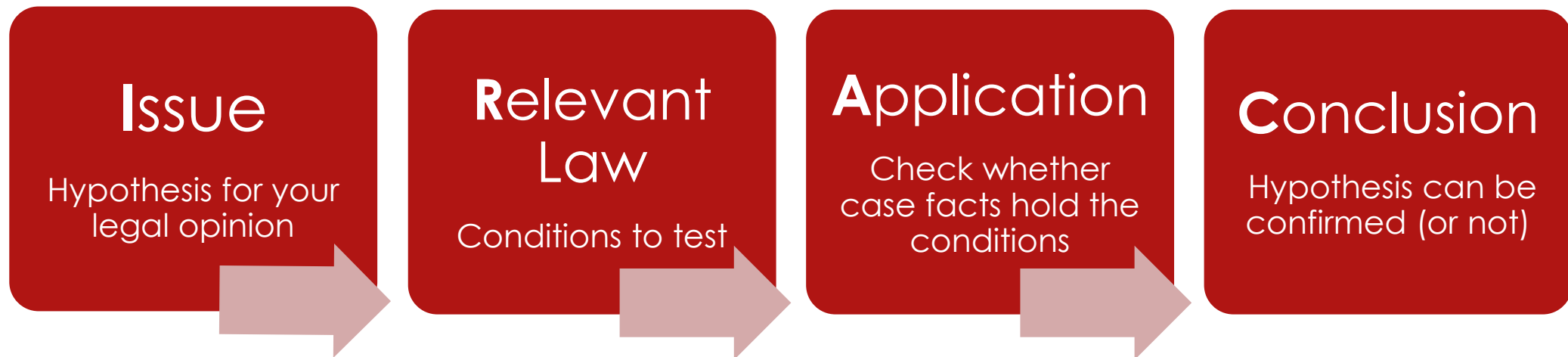
Revision Questions

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What is a declaration of intent?

Required elements?

- **Four step approach**, characteristic for a legal opinion



How to work with the IRAC Scheme

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Issue	Relevant Law	Application	Conclusion
- = Hypothesis - What result are you looking for? - Never formulated as a question - Use "could" instead	- Abstract description of the conditions that must be met in order to confirm the hypothesis	- Do the concrete case facts meet the abstract conditions?	- Answer whether the hypothesis can be confirmed or not
<u>Example:</u> "A and B could have concluded a contract."	<u>Example:</u> "For a contract conclusion offer and acceptance are necessary."	<u>Example:</u> "A asks B if he is interested in buying his bike for 100€. The latter answers yes."	<u>Example:</u> "A and B did conclude a contract."

= Hypothesis

- Announcement what you are looking for
- **Introduction for your IRAC scheme** (on every level)
 - For your case question,
 - For the conditions that you have to test in order to answer the case question
- No question but a **statement sentence (!)**
- You can use “could” for a claim and “must” for a condition

- Example for the examination of the **case question**:

- Mnemonic that fits most of the time:

WHO wants **WHAT** from **WHOM** on which **LEGAL BASIS**

- **Question 1**: Does A have a claim for payment of the purchase price against B according to § 433 II BGB?

“A **could** have a **claim for payment of the purchase price** against B according to **§ 433 II BGB**”

- Example for the examination of the **case question** :

- Mnemonic that fits most of the time:

WHO wants **WHAT** from **WHOM** on which **LEGAL BASIS**

- **Question 2:** Did X revoke the contract that she concluded with Y pursuant to §§ 323 I, 346 BGB?

“X **could** have **revoked the contract** that she concluded with **Y** pursuant to **§§ 323 I, 346 BGB**”

- Example for the examination of a **(sub)condition**:
 - No scheme
 - Depending on the condition that you're testing
- **Condition 1**: D and E, conclusion, lease agreement, § 535 BGB
 - “D and E **could** have concluded a lease agreement (§ 535 BGB)”
- **Condition 2**: F, acting with good faith, § 932 II BGB
 - “F **could** have acted with good faith according to § 932 II BGB”

= **Abstract description of the conditions that must be met in order to confirm the hypothesis**

- How legal rules work:
 - Purpose is to be applicable to an indefinite number of future cases
 - Often formulated in a **very abstract** way
 - Sometimes legislator provides definitions of legal terms with all the conditions
 - In other cases there are no written definitions and you have to search for the conditions in multiple provisions

- Easiest case: **Legal definitions**
- Law itself provides a definition including all the conditions

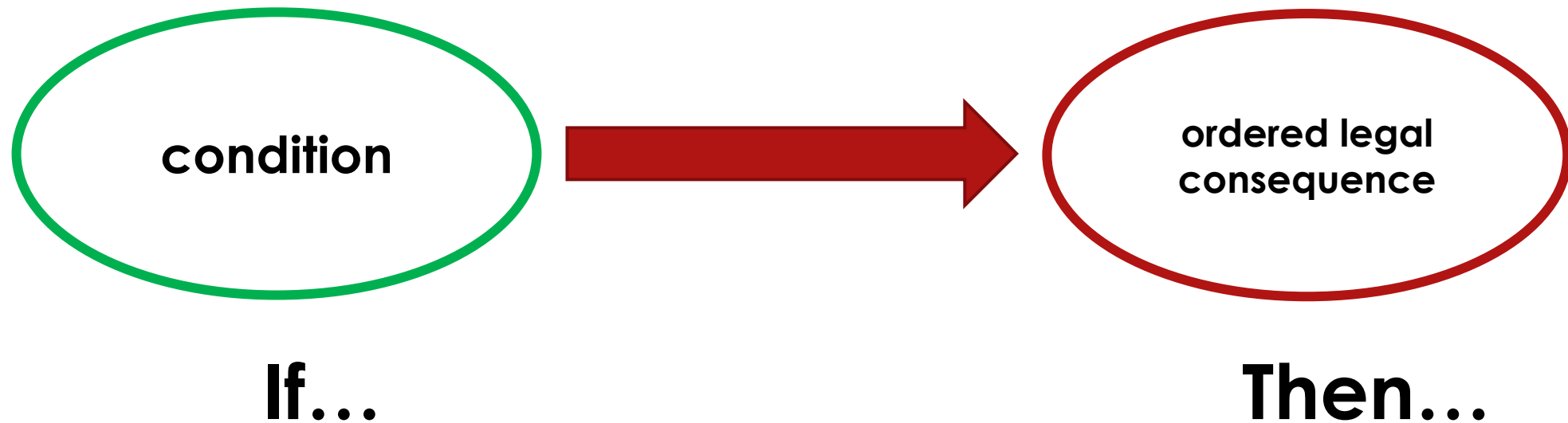
§ 126 I BGB	(1) If written form is prescribed by statute, the document must be signed by the issuer with his name in his own hand, or by his notarially certified initials
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§ 194 I BGB	(1) The right to demand that another person does or refrains from an act (claim) is subject to limitation
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§ 276 II BGB	(2) A person acts negligently if he fails to exercise reasonable care
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§ 13 BGB	A consumer means every natural person who enters into a legal transaction for purposes that predominantly are outside his trade, business or profession
§ 14 I BGB	(1) A trader means a natural or legal person or a partnership with legal personality who or which, when entering into a legal transaction, acts in exercise of his or its trade, business or profession
§ 90 BGB	Only corporeal objects are things as defined by law.
§ 305 I BGB	(1) Standard business terms are all contract terms pre-formulated for more than two contracts which one party to the contract (the user) presents to the other party upon the entering into of the contract.

- It can be more difficult when you have to search for the conditions
- Try to filter the conditions and the consequences from the provision (in the sense of the if-then technique)



- **Example:**

§ 323 BGB

Revocation for nonperformance or for performance not in conformity with the contract

(1) If, in the case of a reciprocal contract, the obligor does not render an act of performance which is due, or does not render it in conformity with the contract, then the obligee may revoke the contract, if he has specified, without result, an additional period for performance or cure.

Condition

Consequence

Other relevant information

- Example:

§ 323 BGB

Revocation for nonperformance or for performance not in conformity with the contract

(1) If, in the case of a *reciprocal contract*, the *obligor does not render an act of performance which is due*, or *does not render it in conformity with the contract*, then the **obligee may revoke the contract**, if he has *specified, without result, an additional period for performance or cure*.

Condition

Consequence

Other relevant information

- **Example:**

§ 433 BGB

Typical contractual duties in a purchase agreement

(1) By a purchase agreement, the seller of a thing is obliged to deliver the thing to the buyer and to procure ownership of the thing for the buyer. The seller must procure the thing for the buyer free from material and legal defects.

(2) The buyer is obliged to pay the seller the agreed purchase price and to accept delivery of the thing purchased.

Condition

Consequence

Other relevant information

- **Example:**

§ 433 BGB

Typical contractual duties in a purchase agreement

(1) By a *purchase agreement*, the **seller of a thing is obliged to deliver the thing to the buyer and to procure ownership of the thing for the buyer.** The seller must procure the thing for the buyer free from material and legal defects.

(2) The **buyer is obliged to pay the seller the agreed purchase price and to accept delivery of the thing purchased.**

Condition

Consequence

Other relevant information

- **Example:**

§ 145 BGB

Binding effect of an offer

Any person who offers to another to enter into a contract is bound by the offer, unless he has excluded being bound by it.

Condition

Consequence

Other relevant information

- Example:

§ 145 BGB

Binding effect of an offer

*Any person who offers to another to enter into a contract **is bound by the offer**, unless he has excluded being bound by it.*

Condition

Consequence

Other relevant information

- **Example for an exception:**

- Subordinate clauses, which are marked with "if not", "so far not", "as long as not", "unless" etc. can contain an exception

§ 145 BGB

Binding effect of an offer

Any person who offers to another to enter into a contract is bound by the offer, unless he has excluded being bound by it.

Condition

Consequence

Other relevant information

- **Example:**

§ 280 BGB

Damages for breach of duty

(1) ¹If the debtor breaches a duty arising from the obligation, the creditor may demand damages for the damage caused thereby. ²This does not apply if the debtor is not responsible for the breach of duty.

Condition

Consequence

Other relevant information

- Example:

§ 280 BGB

Damages for breach of duty

(1) ¹If the debtor *breaches* a *duty arising from the obligation*, the creditor may **demand damages** for the *damage caused* thereby. ²This does not apply if the debtor is not *responsible* for the breach of duty.

Condition

Consequence

Other relevant information

■ Example for a presumption:

- = The existence of a certain condition is presumed and the person concerned must prove the opposite
- Negative formulations are an indication of this

§ 280 BGB

Damages for breach of duty

(1) ¹If the debtor *breaches* a *duty arising from the obligation*, the creditor may **demand damages** for the *damage caused* thereby. ²This does not apply if the debtor is not *responsible* for the breach of duty.

Condition

Consequence

Other relevant information

= **Do the concrete case facts meet the abstract conditions?**

- This step is also called **subsumption** (Latin word)
- Application of a general-abstract legal norm to a concrete case
- Compare whether conditions are given in the exact case

- **Example:**

Bikelover (B) wants to sell his bike. On the 3rd of October B meets his neighbour (N) on the street and says: “Would you like to buy my blue bike for 100€?”. As N was looking for a bike for quite some time she answers: “Yes, I would love to buy the bike”.

Question: Did B and N conclude a purchase agreement?

- **General-abstract legal norm:**
 - **First step:** Check for lex specialis

Step „relevant law“

§ 433 BGB

Typical contractual duties in a purchase agreement

(1) ¹By a **purchase agreement**, the seller of a thing is obliged to deliver the thing to the buyer and to procure ownership of the thing for the buyer. ² The seller must procure the thing for the buyer free from material and legal defects.

(2) The buyer is obliged to pay the seller the agreed purchase price and to accept delivery of the thing purchased.

- **Second step:** Searching for lex generalis
 - §§ 145 et seqq. BGB contain rules about offer and acceptance
 - No definitions of offer and acceptance
 - You have to remember a definition yourself

Step „relevant law“

Issue : Purchase agreement § 433 BGB

= Offer and acceptance

Case facts

Result

Offer:

= An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient.

Acceptance:

= Declaration of intent by which a person expresses his or her agreement with an offer.

Result: Purchase agreement § 433 BGB

Issue : Purchase agreement § 433 BGB

= Offer and acceptance

Case facts

Result

Offer:

= An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient.

B to N: “Would you like to buy my blue bike for 100€?”

Yes

Acceptance:

= Declaration of intent by which a person expresses his or her agreement with an offer.

Result: Purchase agreement § 433 BGB

Issue : Purchase agreement § 433 BGB

= Offer and acceptance

Case facts

Result

Offer:

= An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient.

B to N: “Would you like to buy my blue bike for 100€?”

Yes

Acceptance:

= Declaration of intent by which a person expresses his or her agreement with an offer.

N answers: “I would love to buy the bike”

Yes

Result: Purchase agreement § 433 BGB

Yes

Issue : Purchase agreement § 433 BGB

= Offer and acceptance

Case facts

Result

Offer:

= An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient.

B to N: “Would you like to buy my blue bike for 100€?”

Yes

Acceptance:

= Declaration of intent by which a person expresses his or her **agreement** with an offer.

Alternative scenario:
N rejects the offer

No

Result: Purchase agreement § 433 BGB

No

Issue : Purchase agreement § 433 BGB

= Offer and acceptance

Case facts

Result

Offer:

= An offer is a **declaration of intent** by which the **conclusion of the contract is requested** to another party in such a way that the **conclusion of the contract only depends on the consent of the recipient**.

Alternative scenario:

B plays with the idea of selling his bike, but does not want to commit yet

No

Acceptance:

= Declaration of intent by which a person expresses his or her **agreement with an offer**.

No

Result: Purchase agreement § 433 BGB

No

= Answer whether the hypothesis can be confirmed or not

- Reiterate all elements you used in the introduction sentence
- Conclusion for your IRAC scheme (on every level)
 - For your case question
 - For the conditions that you have to test in order to answer the case question

- Example for the examination of the **case question**:

- Mnemonic that fits most of the time:

WHO wants **WHAT** from **WHOM** on which **LEGAL BASIS**

- **Question 1**: Does A have a claim for payment of the purchase price against B according to § 433 II BGB?

“**A** **has/ does not have** a **claim for payment of the purchase price** against **B** according to **§ 433 II BGB**”

- Example for the examination of the **case question** :

- Mnemonic that fits most of the time:

WHO wants **WHAT** from **WHOM** on which **LEGAL BASIS**

- **Question 2:** Did X revoke the contract that she concluded with Y pursuant to §§ 323 I, 346 BGB?

“X did (not) revoke the contract that she concluded with **Y** pursuant to **§§ 323 I, 346 BGB”**

- Example for the examination of a **(sub)condition**:
 - No scheme
 - Depending on the condition that you're testing
 - **Condition 1**: D and E, conclusion, lease agreement, § 535 BGB
 - “D and E **did (not)** conclude a lease agreement (§ 535 BGB)”
 - **Condition 2**: F, acting with good faith, § 932 II BGB
 - “F **did (not)** act with good faith according to § 932 II BGB”

IRAC – Useful formulations

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Issue

Hypothesis for your
legal opinion

- A could have a claim against B for XXX (§§§).
- There could/must be XXX.
- Questionable is, if XXX is given.

[claim]
[condition]
[condition]

Relevant Law

Conditions to test

- XXX is/means YYY.
- In order for XXX to be fulfilled, YYY must be given.
- For this, YYY is necessary/needed/required.

[definition]
[subcondition]
[subcondition]

Application

Check whether case
facts hold the conditions

Use information from the case facts
No signal words required
Phrases like „in this case“ are not necessary

Conclusion

Hypothesis can be
confirmed (or not)

- This means, XXX is given/fulfilled.
- Consequently, this condition is met.
- As a(n interim) result, XXX exists.

Bikelover (**B**) wants to sell his bike. On the 3rd of October B meets his neighbour (**N**) on the street and says: “Would you like to buy my blue bike for 100€?”. As N was looking for a bike for quite some time she answers: “Yes, I would love to buy the bike”.

Question: Can **N** demand delivery and procurement of ownership from **B**? Answer the case question in legal opinion style.

A. Delivery and procurement of ownership (§ 433 I 1 BGB)

N could claim delivery and procurement of ownership for the bike from B pursuant to § 433 I 1 BGB.

IRAC Scheme:

Issue

Relevant law

Application

Conclusion

I. Purchase agreement

For this a valid purchase agreement between B and N is required. A valid purchase agreement requires two matching declarations of intent in the form of offer and acceptance (§§ 145 et seqq. BGB).

1. Offer

There must be an offer by one of the parties. An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient.

B asked N if she would like to buy his blue bike for 100€. Therefore B made an offer.

IRAC Scheme:**Issue***Relevant law*ApplicationConclusion

2. Acceptance

Further the offer must also have been accepted. An acceptance is a declaration of intent by which a person expresses his or her agreement with an offer. N says she would love to buy the bike. So N has explicitly accepted B's offer.

II. Result

Two matching declarations of intent are given. The parties have concluded a valid purchase agreement. Finally N can demand delivery and procurement of ownership for the bike from B pursuant to § 433 I 1 BGB.

A. Delivery and procurement of ownership (§ 433 I 1 BGB)

N could claim delivery and procurement of ownership for the bike from B pursuant to § 433 I 1 BGB.

IRAC Scheme:

Issue

Relevant law

Application

Conclusion

I. Purchase agreement

For this a valid purchase agreement between B and N is required. *A valid purchase agreement requires two matching declarations of intent in the form of offer and acceptance (§§ 145 et seqq. BGB).*

1. Offer

There must be an offer by one of the parties. *An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient.*

Legal opinion - Bike case

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B asked N if she would like to buy his blue bike for 100€.
Therefore B made an offer.

IRAC Scheme:

Issue

Relevant law

Application

Conclusion

2. Acceptance

Further the offer must also have been accepted. *An acceptance is a declaration of intent by which a person expresses his or her agreement with an offer.* N says she would love to buy the bike. So N has explicitly accepted B's offer.

II. Result

Two matching declarations of intent are given. The parties have concluded a valid purchase agreement. Finally N can demand delivery and procurement of ownership for the bike from B pursuant to § 433 I 1 BGB.

Thank you
for your attention!

